Combined outstanding credit/borrowing/debt of governments, businesses and households in India was Rs 300 lakh crore. In dollar terms, outstanding credit stock amounts to $4 trillion (at Rs 75 to a dollar).

Governments borrow to meet the gap in their expenditures and revenues. The Centre and states are the largest group of debtors. Together, they had a built-up debt stock of about Rs 150 lakh crore by 2020. The Central government owed, mostly to Indian residents, roughly Rs 100 lakh crore and the states, collectively, another Rs 50 lakh crore.

Non-financial/real sector businesses of all types (agricultural, industry or services, micro, small, medium or large, public sector or private sector) borrow from all types of lenders (banks, non-banks and others) in different forms (loans, advances, bonds, etc.). They had an outstanding credit of about Rs 100 lakh crore.

While households are primarily savers, many borrow to finance the acquisition of assets, such as houses, vehicles and other consumer durables. Many households, especially the poor, also borrow for current consumption. The stock of credit availed by households or household debt was about Rs 50 lakh crore.

India’s GDP was about Rs 200 lakh crore in 2020. The outstanding credit stock of Rs 300 lakh crore owed by governments, businesses and households amounted to 150 per cent of GDP. It was too large a stock of debt for comfort.

Banks are Principal Credit Providers

There are five broad classes of lenders or creditors: banks, NBFCs; long-term saving funds, the central bank (RBI); and the rest of the world. There is a wide variety of NBFCs, including HFCs, long-term saving funds, including retirement funds like EPFO and NPS funds as well as life-insurance companies.